

TRANSPORTATION PROBLEM

1.

		DESTINATION			SUPPLY
		CAR	DOLL	BOARDWALK	
SOURCE	T1	20	20	20	60
	T2	25	25	10	60
	T3	12	11	10	40
	DUMMY	0	0	0	10
DEMAND		50	65	40	

DECISION VARIABLE: x_{ij} $i \in \{1, 2, 3\}$ TEAM

$j \in \{C, D, B\}$ TOYS

= amount of toys assigned to each team

2.

	1	2	3	SUPPLY	u_i
1	9 (8)	10 (4)	7 <u>-2</u>	12	0
2	3 2	2 (5)	1 (2)	7	-8
3	6 4	3 0	2 (11)	11	-7
DEMAND	8	9	13		
v_j	9	10	9		

x_{13} ENTERING
 x_{23} LEAVING

$$Z = 8 \cdot 9 + 10 \cdot 4 + 2 \cdot 5 + 1 \cdot 2 + 2 \cdot 11 = 146$$

	1	2	3	SUPPLY	u_i
1	9 (8)	10 (2)	7 (2)	12	0
2	3 2	2 (7)	1 2	7	-8
3	6 2	3 <u>-2</u>	2 (11)	11	-5
DEMAND	8	9	13		
v_j	9	10	7		

$$c_j - u_i - v_j$$

$$Z - 7 = 4$$

$$Z = 8 \cdot 9 + 10 \cdot 2 + 7 \cdot 2 + 2 \cdot 7 + 2 \cdot 11 = 142$$

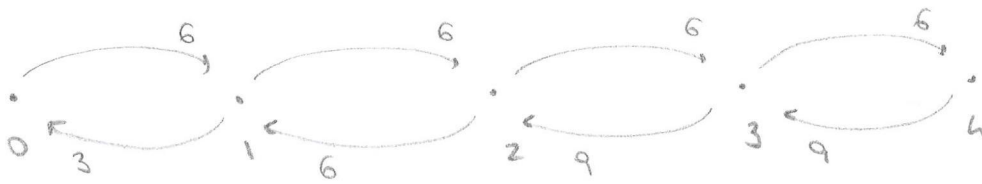
$$x_{11} = 8 \quad x_{12} = 2 \quad x_{13} = 2$$

$$x_{22} = 7 \quad x_{33} = 11$$

$$3 - 10 + 5 = -2$$

the solution is not optimal
because there is still a
negative coefficient

QDP - DENTAL CLINIC



1.

$$IN = OUT$$

$$\begin{cases} 3\pi_0 = 6\pi_1 \\ 6\pi_1 = 6\pi_2 \\ 9\pi_2 = 6\pi_3 \\ 9\pi_3 = 6\pi_4 \\ \pi_0 + \pi_1 + \pi_2 + \pi_3 + \pi_4 = 1 \end{cases}$$

$$\pi_1 = 2\pi_0$$

$$\pi_2 = \pi_1 = 2\pi_0$$

$$\pi_3 = \frac{6}{9}\pi_2 = \frac{12}{9}\pi_0 = \frac{4}{3}\pi_0$$

$$\pi_4 = \frac{6}{9}\pi_3 = \frac{2}{3} \cdot \frac{4}{3}\pi_0 = \frac{8}{9}\pi_0$$

$$\pi_0 + 2\pi_0 + 2\pi_0 + \frac{4}{3}\pi_0 + \frac{8}{9}\pi_0 = 1$$

$$(9 + 18 + 18 + 12 + 8)\pi_0 = 9$$

$$\pi_0 = \frac{9}{65}$$

$$\pi = \left(\frac{9}{65}, \frac{18}{65}, \frac{18}{65}, \frac{12}{65}, \frac{8}{65} \right)$$

$$\# \text{ PATIENTS} = 0 \cdot \frac{9}{65} + 1 \cdot \frac{18}{65} + 2 \cdot \frac{18}{65} + 3 \cdot \frac{12}{65} + 4 \cdot \frac{8}{65}$$

$$= \frac{(18 + 36 + 36 + 32)}{65} = \frac{122}{65} \sim 1,87$$

2. E_x = time to go from state x to state 3

$$\begin{cases} E_0 = \frac{1}{6} + E_1 \\ E_1 = \frac{1}{9} + \frac{3}{9}E_0 + \frac{6}{9}E_2 \\ E_2 = \frac{1}{12} + \frac{6}{12}E_1 + \frac{6}{12}E_3 \\ E_3 = 0 \end{cases} \quad (\text{HOURS})$$

$$\begin{cases} E_0 = 10 + E_1 \\ E_1 = \frac{20}{3} + \frac{1}{3}E_0 + \frac{2}{3}E_2 \\ E_2 = 5 + \frac{1}{2}E_1 + \frac{1}{2}E_3 \\ E_3 = 0 \end{cases} \quad (\text{MINUTES})$$

$$E_2 = \frac{1}{12} + \frac{1}{2}E_1$$

$$E_1 = \frac{1}{9} + \frac{1}{3}E_0 + \frac{2}{3}\left(\frac{1}{12} + \frac{1}{2}E_1\right)$$

$$= \frac{1}{9} + \frac{1}{3}E_0 + \frac{1}{18} + \frac{1}{3}E_1$$

$$\frac{2}{3}E_1 = \frac{1}{6} + \frac{1}{3}E_0$$

$$E_1 = \frac{3}{2}\left(\frac{1}{6} + \frac{1}{3}E_0\right)$$

$$= \frac{1}{4} + \frac{1}{2}E_0$$

$$E_0 = \frac{1}{6} + \frac{1}{4} + \frac{1}{2}E_0$$

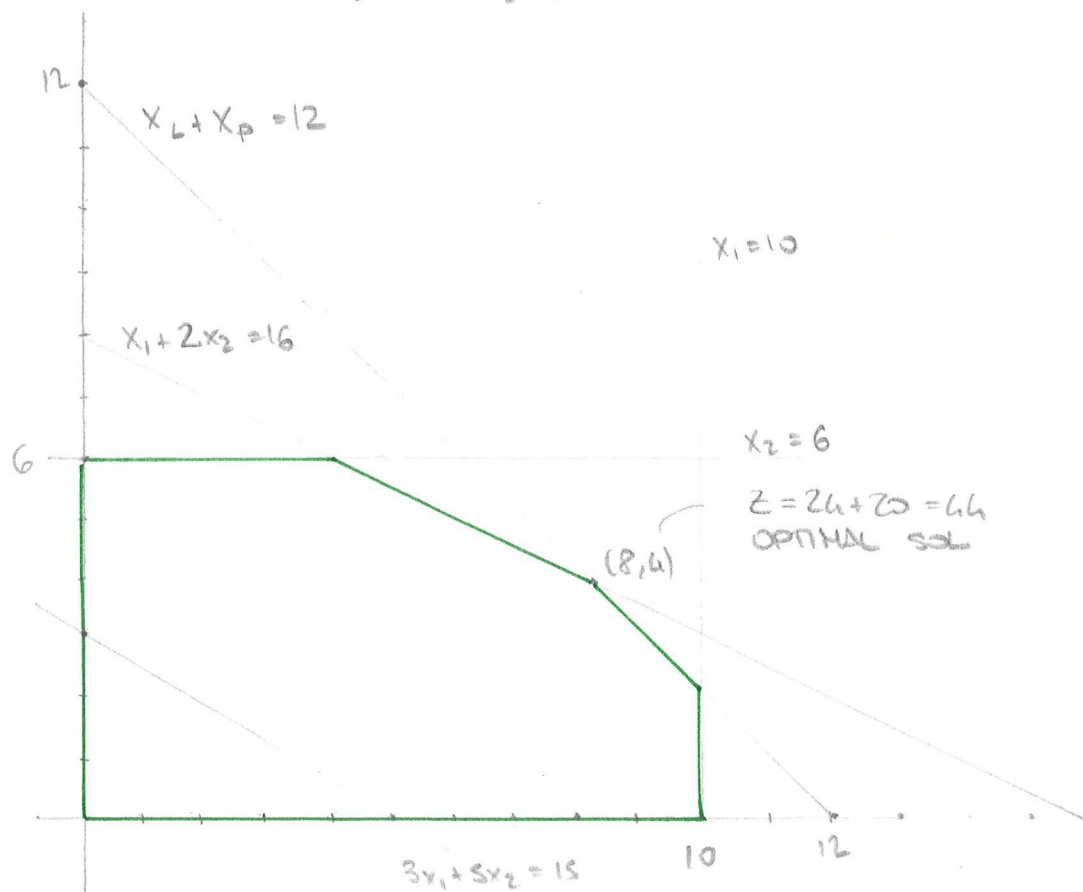
$$\frac{1}{2}E_0 = \frac{2+3}{12} = \frac{5}{12}$$

$$E_0 = \frac{5}{6} \text{ hours} \quad (50 \text{ minutes})$$

SIMPLEX METHOD

$$\begin{aligned} \max \quad & 3000 x_L + 5000 x_P \\ & x_L + x_P \leq 12 \\ & 7x_L \leq 70 \\ & 3x_P \leq 18 \\ & 10x_L + 20x_P \leq 160 \end{aligned}$$

$$\begin{aligned} \max \quad & 3x_1 + 5x_2 \\ & x_1 + x_2 \leq 12 \\ & x_1 \leq 10 \\ & x_2 \leq 6 \\ & x_1 + 2x_2 \leq 16 \end{aligned}$$



$$\begin{aligned}
 \max \quad & 3000 x_1 + 5000 x_2 \\
 & x_1 + x_2 \leq 12 \\
 & 7x_1 \leq 70 \\
 & 3x_2 \leq 18 \\
 & 10x_1 + 20x_2 \leq 160
 \end{aligned}$$

$$\begin{aligned}
 \max \quad & 3x_1 + 5x_2 \\
 & x_1 + x_2 \leq 12 \\
 & x_1 \leq 10 \\
 & x_2 \leq 6 \\
 & x_1 + 2x_2 \leq 16
 \end{aligned}$$

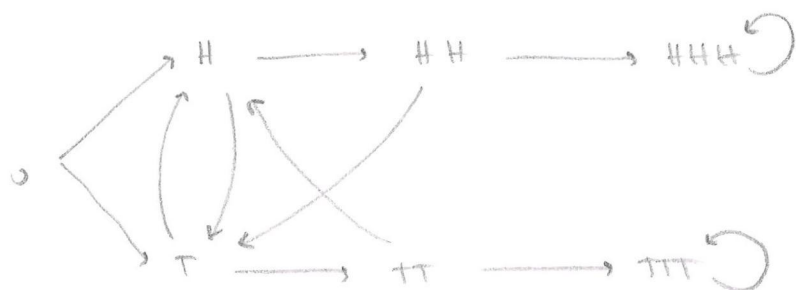
$$\begin{aligned}
 \max \quad & z \\
 & z - 3x_1 - 5x_2 = 0 \\
 & x_1 + x_2 + x_3 = 12 \\
 & x_1 + x_4 = 10 \\
 & x_2 + x_5 = 6 \\
 & x_1 + 2x_2 + x_6 = 16
 \end{aligned}$$

ITER	BV	Z	x_1	x_2	x_3	x_4	x_5	x_6	RHS	
1	Z	1	-3	-5	0	0	0	0	0	
	x_3	0	1	1	1	0	0	0	12	$12/1 = 12$
	x_4	0	1	0	0	1	0	0	10	—
	x_5	0	0	1	0	0	1	0	6	$6/1 = 6$
	x_6	0	1	2	0	0	0	1	16	$16/2 = 8$
2	Z	1	-3	0	0	0	5	0	30	
	x_3	0	1	0	1	0	-1	0	6	$6/1 = 6$
	x_4	0	1	0	0	1	0	0	10	$10/1 = 10$
	x_2	0	0	1	0	0	1	0	6	—
	x_6	0	1	0	0	0	-2	1	4	$4/1 = 4$

ITER	BV	Z	x_1	x_2	x_3	x_4	x_5	x_6	RHS	
3	Z	1	0	0	0	0	-1	3	42	
	x_3	0	0	0	1	0	1	-1	2	$2/1 = 2$
	x_4	0	0	0	0	1	2	-1	6	$6/2 = 3$
	x_2	0	0	1	0	0	1	0	6	$6/1 = 6$
	x_1	0	1	0	0	0	-2	1	4	—
4	Z	1	0	0	1	0	0	2	44	
	x_5	0	0	0	0	0	1	-1	2	
	x_4	0	0	0	-2	1	0	1	2	
	x_2	0	0	1	-1	0	0	1	4	
	x_1	0	1	0	2	0	0	-1	8	

OPTIMAL SOL: $x_1 = 8$ $Z = 44$
 $x_2 = 4$
 $x_3 = 0$
 $x_4 = 2$
 $x_5 = 2$
 $x_6 = 0$

COIN FLIPPING



(P_{HHH} final)

P_0 of reaching HHH before TTT

$$P_0 = \frac{1}{2} P_H + \frac{1}{2} P_T$$

$$P_H = \frac{1}{2} P_T + \frac{1}{2} P_{HH}$$

$$P_T = \frac{1}{2} P_H + \frac{1}{2} P_{TT}$$

$$P_{HH} = \frac{1}{2} P_{HHH} + \frac{1}{2} P_T$$

$$P_{TT} = \frac{1}{2} P_{TTT} + \frac{1}{2} P_H$$

$$P_{HHH} = 1$$

$$P_{TTT} = 0$$

$$P_{TT} = \frac{1}{2} P_H$$

$$P_{HH} = \frac{1}{2} + \frac{1}{2} P_T$$

$$P_T = \frac{1}{2} P_H + \frac{1}{4} P_H = \frac{3}{4} P_H$$

$$P_H = \frac{3}{8} P_H + \frac{1}{2} \left(\frac{1}{2} + \frac{1}{2} \left(\frac{3}{4} P_H \right) \right)$$

$$= \frac{3}{8} P_H + \frac{1}{4} + \frac{3}{16} P_H$$

$$1 - \frac{3}{8} - \frac{3}{16} = \frac{16 - 6 - 3}{16} = \frac{7}{16}$$

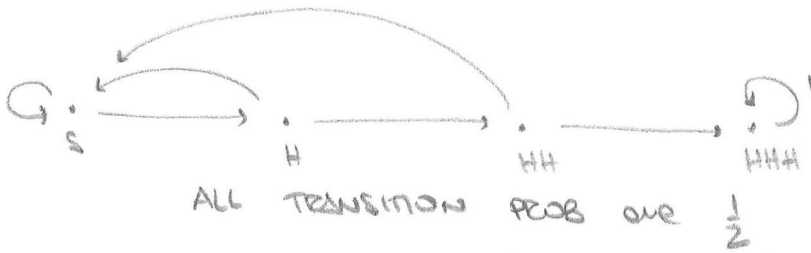
$$\frac{7}{16} P_H = \frac{1}{4} \quad P_H = \frac{16}{7} \cdot \frac{1}{4} = \frac{4}{7} \quad P_T = \frac{3}{7}$$

$$P_0 = \frac{2}{7} + \frac{3}{14} = \frac{1}{2}$$

$$2. \quad S \xrightarrow{2} H \xrightarrow{4} HH \xrightarrow{8} HHH$$

16

or



E_x = number of coin flips to go from x to $\cdot$ HHH

$$\begin{cases} E_S = 1 + \frac{1}{2}E_H + \frac{1}{2}E_S \\ E_H = 1 + \frac{1}{2}E_{HH} + \frac{1}{2}E_S \\ E_{HH} = 1 + \frac{1}{2}E_{HHH} + \frac{1}{2}E_S \\ E_{HHH} = 0 \end{cases}$$

$$E_{HHH} = 1 + \frac{1}{2}E_S$$

$$E_H = 1 + \frac{1}{2}\left(1 + \frac{1}{2}E_S\right) + \frac{1}{2}E_S$$

$$= 1 + \frac{1}{2} + \frac{1}{4}E_S + \frac{1}{2}E_S$$

$$= \frac{3}{2} + \frac{3}{4}E_S$$

$$E_S = 1 + \frac{1}{2}\left(\frac{3}{2} + \frac{3}{4}E_S\right) + \frac{1}{2}E_S$$

$$= 1 + \frac{3}{4} + \frac{3}{8}E_S + \frac{1}{2}E_S$$

$$\left(1 - \frac{3}{8} - \frac{1}{2}\right)E_S = \frac{7}{4}$$

$$\frac{8-3-4}{8}E_S = \frac{7}{4}$$

$$\frac{1}{8}E_S = \frac{7}{4} \quad E_S = 14$$

GAME THEORY

	L	R	
T	0, -1	2, 0	p
B	1, 2	0, 1	1-p
	q	1-q	

max profit

$$R_1(L) = B$$

$$R_1(R) = T$$

$$R_2(T) = R$$

$$R_2(B) = L$$

PURE NE: (B, L) with value (1, 2)

(T, R) (2, 0)

EXPECTED PAYOFF P1: $0q + 2(1-q)$ T

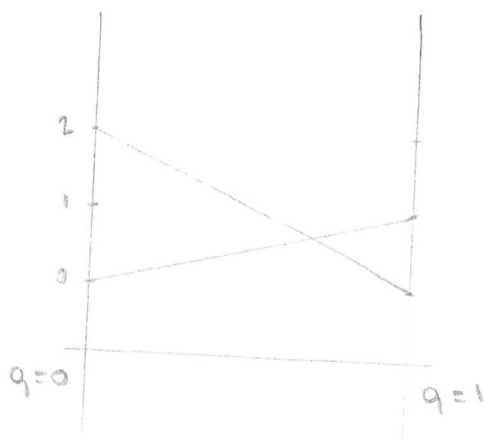
$$q + 0(1-q) \quad B$$

$$2(1-q) = q$$

$$2 - 2q = q$$

$$q = \frac{2}{3}$$

$$V = \frac{2}{3}$$



EXPECTED PAYOFF P2: $-1p + 2(1-p)$ L

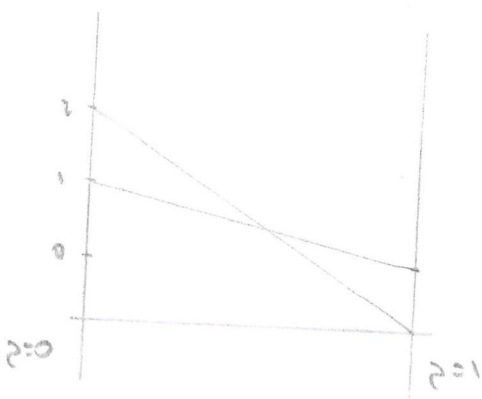
$$0p + 1(1-p) \quad R$$

$$-p + 2(1-p) = 1-p$$

$$2 - 2p = 1$$

$$p = \frac{1}{2}$$

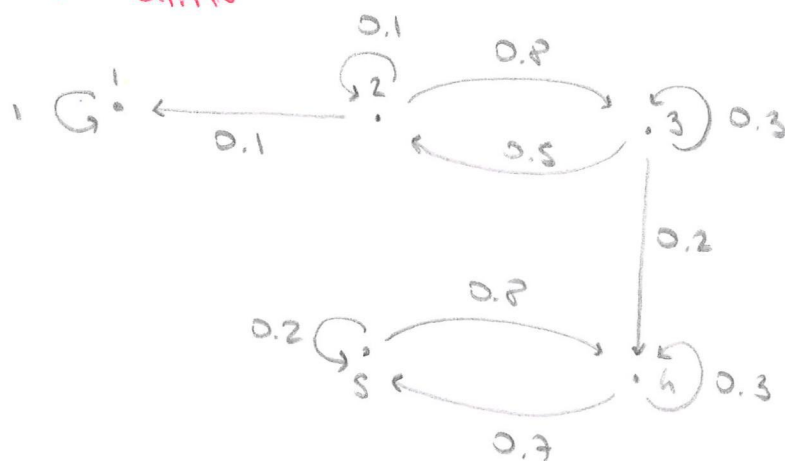
$$V = \frac{1}{2}$$



MIXED NE: $(\frac{1}{2}, \frac{2}{3})$ with value $(\frac{1}{2}, \frac{2}{3})$

MARCOV CHAIN

(AACHEN)



1. P_x = prob of ever arriving in state 1 starting at x

$$\begin{cases} P_1 = 1 \\ P_2 = 0.1 P_1 + 0.1 P_2 + 0.8 P_3 \\ P_3 = 0.5 P_2 + 0.3 P_3 + 0.2 P_4 \\ P_4 = P_5 = 0 \end{cases}$$

$$P_3 = 0.5 P_2 + 0.3 P_3$$

$$P_3 = \frac{5}{2} P_2$$

$$\begin{aligned} P_2 &= 0.1 + 0.1 P_2 + \frac{8}{10} \cdot \frac{5}{2} P_2 \\ &= 0.1 + 0.1 P_2 + \frac{4}{1} P_2 \end{aligned}$$

$$\left(1 - \frac{1}{10} - \frac{4}{1}\right) P_2 = \frac{1}{10}$$

$$\frac{70 - 7 - 40}{70} = \frac{23}{70}$$

$$P_2 = \frac{70}{23} \cdot \frac{1}{10} = \frac{7}{23}$$

$$P_3 = \frac{5}{2} \cdot \frac{7}{23} = \frac{5}{23} \quad \text{prob of arriving in 1} \quad 0.217 \quad \frac{90}{414}$$

$$1 - \frac{5}{23} = \frac{18}{23} \quad \text{prob of arriving in 4}$$

$$2. \pi_1 = \frac{5}{23}$$

$$\pi_2 = \pi_3 = 0 \quad \text{transient states}$$

$$P_{LS} = \begin{bmatrix} 0.3 & 0.7 \\ 0.8 & 0.2 \end{bmatrix}$$

$$\hat{\pi}_{LS} = \hat{\pi}_{LS} P_{LS} \quad \Rightarrow \quad \hat{\pi}_L = 0.3 \hat{\pi}_L + 0.8 \hat{\pi}_S$$

$$\hat{\pi}_S = 0.7 \hat{\pi}_L + 0.2 \hat{\pi}_S$$

$$\hat{\pi}_L = \frac{8}{7} \hat{\pi}_S$$

$$\hat{\pi}_S + \frac{8}{7} \hat{\pi}_S = 1$$

$$\hat{\pi}_S = \frac{7}{15} \quad \hat{\pi}_L = \frac{8}{15}$$

$$\pi = \left(\frac{5}{23}, 0, 0, \frac{18}{23} \cdot \frac{8}{15}, \frac{18}{23} \cdot \frac{7}{15} \right)$$

$$= \left(\frac{5}{23}, 0, 0, \frac{48}{115}, \frac{42}{115} \right)$$

$$3. P_T = \begin{bmatrix} 0.1 & 0.8 \\ 0.5 & 0.3 \end{bmatrix}$$

$$S = (I - P_T)^{-1} = \begin{bmatrix} 0.9 & -0.8 \\ -0.5 & 0.7 \end{bmatrix}^{-1}$$

$$= \frac{1}{\frac{9}{10} \cdot \frac{7}{10} - \frac{8}{10} \cdot \frac{5}{10}} \begin{bmatrix} 0.7 & 0.8 \\ 0.5 & 0.9 \end{bmatrix}$$

$$= \frac{100}{32} \begin{bmatrix} \frac{7}{10} & \frac{8}{10} \\ \frac{5}{10} & \frac{9}{10} \end{bmatrix} = \begin{bmatrix} \frac{70}{32} & \frac{80}{32} \\ \frac{50}{32} & \frac{90}{32} \end{bmatrix}$$

starting in 3 we will stay $\frac{70}{32}$ steps in state 2

$\frac{80}{32}$ 3